

THE THESIS IN ONE LINE

Biggest price-hiker (+50% list) and book-to-bill 2.2: the 2018 playbook, good and bad

▲ BULL — why it could be worth it

- +50% list price from 1 Jul, extended to direct customers [ATTRIBUTED]
- Six straight record months; Aug +51.8% YoY [ATTRIBUTED]
- Utilization 80-85% heading >90%: volume left [ATTRIBUTED]
- Fwd P/E 24.4x; -45% from high [FACT/EST]

▼ BEAR — why it might not

- 2018: book-to-bill 3, then ASP -15% a quarter in 2019 [ATTRIBUTED]
- Channel inventory 2-6 months by channel [ATTRIBUTED]
- AI-server share ~3%: a commodity-cycle name [ATTRIBUTED]
- EV / 4y-mean EBITDA ~34x [EST]

THE SINGLE DRIVER TO WATCH

Distributor inventory months (Yageo 3Q call, 27 Oct).

VALUATION

Fwd P/E 24.4x; EV/EBITDA 27.5x; TPs NT\$1,280-1,465 (GS/Citi/MS) [ATTRIBUTED].

ENTRY / LEVELS

Buy only if 27 Oct shows distribution inventory flat-to-down; else wait for monthly revenue to roll.

WHAT WOULD FLIP THE CALL

Monthly revenue down 3 months in a row = the 2018 turn.